

US Dollar

October 2026 outlook: resilient now, supported beyond

Analyst: Valeriy Sinko · Data as of 28 Sep 2026 · Issue 1

1 TO 3 MONTHS
USD bullish

6 TO 12 MONTHS
Mildly bullish

1 TO 3 MONTH OUTLOOK

Bullish USD: markets underestimate how far the Fed will tighten.

PRICED 72% odds of a 25bp hike on 28 Oct ($\approx +18$ bp; CME FedWatch, 28 Sep), yet only [about 30%] for a second by December. The Fed's median implies one more hike, then a pause at 4.1%.

VIEW **The Fed out-hawks market pricing.**

- **Fed:** 16 of 18 officials expect a further hike; the 2026 median climbed from 3.8% to 4.1% (SEP, 16 Sep); Warsh: inflation "too high for too long".
- **Inflation:** CPI 3.4%, core +0.3% m/m (BLS, Aug); Brent near \$107 and consumer expectations of 4.6% (UMich, Sep) add pressure.
- **Jobs:** payrolls +162k vs +53k expected, unemployment 4.1% (BLS, Aug): the economy can absorb tighter policy.

POSITIONING DXY net longs +10,330 (CFTC, 22 Sep), $z \approx +1$: modestly long, far from crowded. Yet euro shorts nearly doubled to -52,334: our trade is growing popular.

CHANGE OUR MIND Payrolls below 50k (2 Oct), core CPI $\leq 0.2\%$ m/m (14 Oct), a hold on 28 Oct, or an Iran ceasefire sending Brent under \$90. Any dovish surprise risks a euro short squeeze.

6 TO 12 MONTH OUTLOOK

Energy and El Niño tilt the balance: the dollar stays mildly bid, though rich valuation caps the upside.

PRICED Rates: about 4.3% by December, hikes into 2027. Oil: Brent falling from \$107 to the \$70s by 2027 (EIA).

VIEW **Mildly bullish USD:** the supports are immediate, the drags slow.

- **Real rates (+):** real policy rate +0.5%, a 1.54 pt premium over the DXY basket.
- **Terms of trade (+):** the US exports energy, Europe imports it: EU gas storage is a record-low 71% (27 Sep), diesel stocks the thinnest since 2022. El Niño (>90%, NOAA) also hits JPY and AUD.
- **Balance of payments (-):** deficit widened to 3.0% of GDP (BEA, Q2) as foreign inflows slowed to \$83.7bn in July from \$133.5bn (TIC).
- **Valuation (-):** REER 114, near its record; about 17% overvalued against EUR on PPP.

WHERE WE DISAGREE With Europe's gas and diesel stocks near record lows, energy stays tighter for longer than futures imply, weighing on the euro more than the dollar.

CHANGE OUR MIND A mild winter or Iran ceasefire collapsing energy prices; or growth below 1% forcing Fed cuts.

Real rates +

Terms of trade +

Balance of payments -

Valuation -

FORECASTS AGAINST THE FORWARD

Pair	Horizon	Spot	Forward	Our forecast	Against the forward
EUR/USD	3 months	1.1403	1.1442	1.1200	USD stronger than the forward
EUR/USD	12 months	1.1403	1.1556	1.1600	In line with the forward
DXY	3 months	100.97	100.58	101.80	USD stronger than the forward

Forwards use policy rates as a proxy (USD 3.875%, EUR 2.50%, DXY basket 2.33%). Sources: Fed, ECB, BLS, BEA, US Treasury, NOAA, UMich, CME, CFTC, BIS, GIE; 16–28 Sep 2026. [Brackets]: to verify. Not investment advice.

INDICATORS PANEL

DXY spot (25 Sep)	100.97
DXY 3m forward	100.58
Fed funds (16 Sep)	3.75–4.00%
Policy gap vs DXY basket	+1.54 pts
Policy gap vs EUR (trade)	+1.375 pts
Next FOMC · priced	28 Oct: 72%
2y Treasury; 1m chg	[4.81%] · +47bp
CPI vs 2% target (Aug)	3.4% (+1.4 pts)
Current account (Q2)	-3.0% of GDP
Valuation: REER (May)	114.0
CFTC DXY net (22 Sep)	+10,330

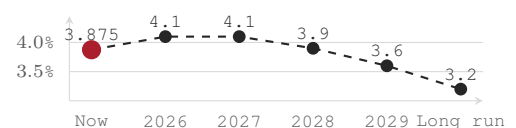
TRADE IDEA

Sell EUR/USD (long USD), spot

Entry	1.1400
Stop	1.1550
Target	1.1100
Reward : risk	2.0 ; 2.3 after carry
Size	1% risk; about EUR 667k
Catalysts	2 Oct NFP, 14 Oct CPI, 28 Oct FOMC
Horizon	Short dated; exit after 28 Oct

CHART 1

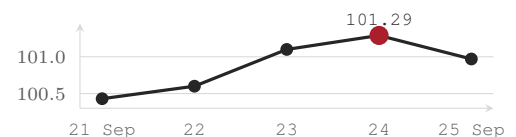
The Fed's own path shows the rate premium peaking in 2027



Fed funds midpoint now vs median projections. Source: FOMC Summary of Economic Projections, 16 Sep 2026.

CHART 2

The dollar rallied into the hike, back to July highs



DXY daily close. Source: Portfolio Terminal, 25 Sep 2026.